BSE. But it hurt their pockets little, since many of them had already bought memberships on the NSE.

From 1994 till mid-1995, the price of the the BSE membership card kept rising, thanks to demand from foreign investment banks that wanted to start broking operations in India. While membership on the NSE was far cheaper, foreign firms were keen on being members on both exchanges.

The arrival of foreign brokerages also led to a huge demand for analysts tracking equities and the economy. By 1994, quite a few domestic brokerages catering to institutional investors had begun hiring analysts to offer research services in addition to executing transactions. Most of the analysts had been roped in from the term-lending institutions, where they used to make project analysis reports.

The domestic brokerages were paying them a good salary, considering most of them were chartered accountants and MBAs. But overnight, foreign broking firms upended the wage structure of the industry by offering these analysts three to four times their existing salaries. It was a typical *Godfather* kind of offer that most analysts found hard to refuse.

Domestic brokerages were furious, but could not afford to compete with their foreign rivals on salaries. From 1994 onwards, Morgan Stanley, Merrill Lynch, Barclays De Zoete Wedd (BZW), National Westminster (NatWest), Indo Suez WI Carr, Hoare Govett, Credit Lyonnais (later CLSA) ABN Amro, Peregrine, Jardine Fleming, Socgen Crosby, HSBC (in partnership with Batlivala & Karani for a long time), ING Barings, UBS, Credit Suisse First Boston, Caspian, Cazenove, were among the firms that went on to set up shop in India. The aftermath of the Asian currency crisis of 1997 would see many of them retreat from India, and the dotcom bust of 2001 would claim some more casualties.

Some of the big names chose to dip their toes in the perilous waters of Indian stock broking, hand-held by some of the leading domestic names. Merrill Lynch chose DS Purbhoodas as its partner, Morgan Stanley allied with JM Financial, and Goldman Sachs teamed up with Kotak Securities. All the marriages would dissolve over the next decade or so.

The arrival of FIIs improved India’s standing in the global markets. It was way down in the pecking order, but had finally got noticed. However, while trading volumes had improved considerably, thanks to electronic trading, there was still not enough liquidity for FIIs to trade in large lots.